

KEY TERMINOLOGY

ECONOMY



- Organised / Unorganised
- Unemployment
- Underemployment
- Disguised Unemployment

MODULE - 13

- Seasonal Unemployment
- Cyclic Unemployment
- Structural Unemployment
- Technological Unemployment

ORGANISED SECTOR AND UNORGANISED SECTOR

ORGANISED SECTOR



सत्यमेव जयते



- Terms of **employment** are regular
- People have **assured work**
- Registered with the government
- To follow **rules and regulations**
- Have to follow **formal processes and procedures**
- Security of employment, i.e., **job security**
- To work only a **fixed number of hours**
- Several **benefits** during the **tenure** as well as after **retirement**

KEY TERMINOLOGY IN ECONOMY

ORGANISED SECTOR AND UNORGANISED SECTOR

ORGANISED SECTOR



ORGANISED SECTOR AND UNORGANISED SECTOR

UNORGANISED SECTOR



- No fixed hours of employment
- No job security
- Small and scattered units
- Outside the control of the governments
- The jobs are low paid, moreover, not regular
- No provision for over time, paid leave and holidays, leaves due to sickness etc.
- People can be asked to leave without any reason.
- All depends on the whims and fancies of the employer.
- Around 90% in our country are in unorganised sector.

KEY TERMINOLOGY IN ECONOMY

ORGANISED SECTOR AND UNORGANISED SECTOR

UNORGANISED SECTOR



FORMAL SECTOR AND INFORMAL SECTOR



FORMAL SECTOR

- All Govt. Sector employees
- Firms / Organizations, which employ 10 or more employees on a regular basis

INFORMAL SECTOR

- Private sector organizations, which employ less than 10 employees.
- Agricultural labourers, self employed, casual labourers form informal sector.



The irony is that more and more organized sector firms are engaging “casual labourers” on a daily basis or on contract basis i.e., organized sector is creating informal sector jobs

CASUAL WAGE LABOURER



CASUAL WAGE LABOURER

A person who is engaged casually in others farm, non-farm enterprises and in return receives wages according to the terms of the daily or periodic works contract.

UNEMPLOYMENT



Government of India
Ministry of Statistics and
Programme Implementation

UNEMPLOYMENT

A situation in which all those who seek work could not find work

TRADE UNION



Bharatiya Mazdoor Sangh.



TRADE UNION

An organization of workers formed for the purpose of addressing its member's interests in respect of wage benefits and working conditions

LABOUR LAWS



सत्यमेव जयते

MINISTRY OF LABOUR AND EMPLOYMENT

GOVERNMENT OF INDIA



LABOUR LAWS

All the rules and regulations framed by the Government to protect the interests of the workers

UNDEREMPLOYMENT

1

UNDEREMPLOYMENT

Employed at a low paying job that requires less skill or training than one possesses.



A Ph.D, scholar working as a clerk

2

UNDEREMPLOYMENT

Employed part time, only when one needs and desires full time employment.



DISGUISED UNEMPLOYMENT



DISGUISED UNEMPLOYMENT

- It is the trait in developing countries
- Large population creates a surplus in the labour force
- Huge informal labour markets or agricultural labour markets are created
- These can absorb substantial number of labour
- Low productivity
- Engaging more labour also does not increase aggregate output

DISGUISED UNEMPLOYMENT

1



2



MORE ON DISGUISED UNEMPLOYMENT

- It is **hidden unemployment**
- It is a situation, where **more people are engaged in a work than the required**
- Generally found in **agriculture sector**
- let us take for example, if nine people are working in one acre of agriculture plot, even if four of them were withdrawn, there will be no reduction in the output.
- So, here four people are **disguisedly employed**.
- In urban areas, example is **family members working in their small street corner shop**

SEASONAL UNEMPLOYMENT

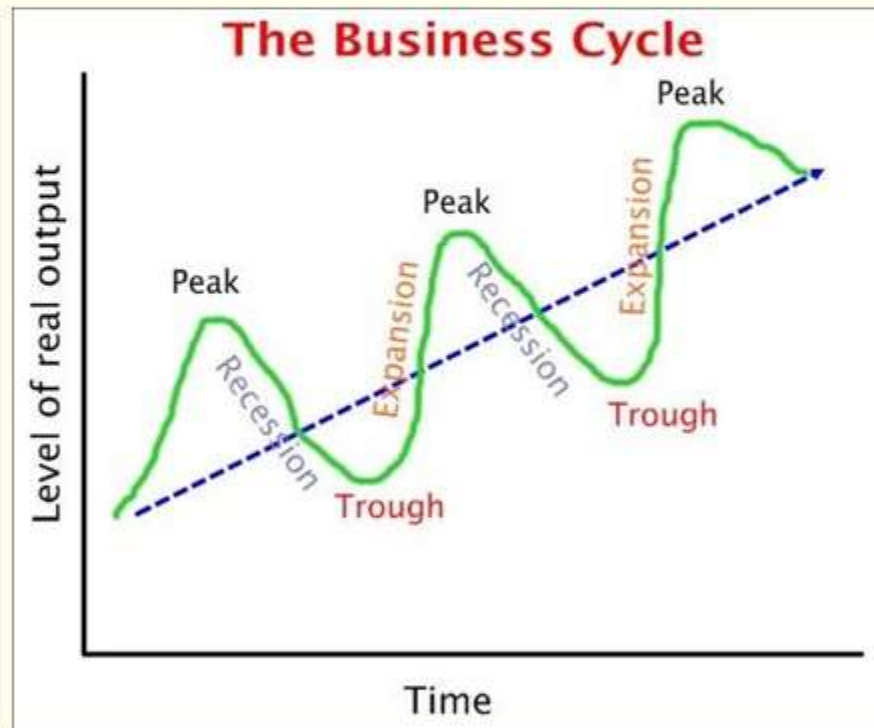


The above examples indicate seasonal unemployment

SEASONAL UNEMPLOYMENT

- It is the increased level of unemployment that is expected to occur during certain periods of the year.

CYCLIC UNEMPLOYMENT



CYCLIC UNEMPLOYMENT

- This relates to **cyclic trends in growth and production**.
- They occur **within the business cycle**.
- When **business cycles are at their peak**, cyclic unemployment will be low.
- When the **economic output falls**, as measured by GDP, cyclical unemployment will raise.

This is the common feature, when we look at business cycles in any country

KEY TERMINOLOGY IN ECONOMY

CYCLIC UNEMPLOYMENT



STRUCTURAL UNEMPLOYMENT



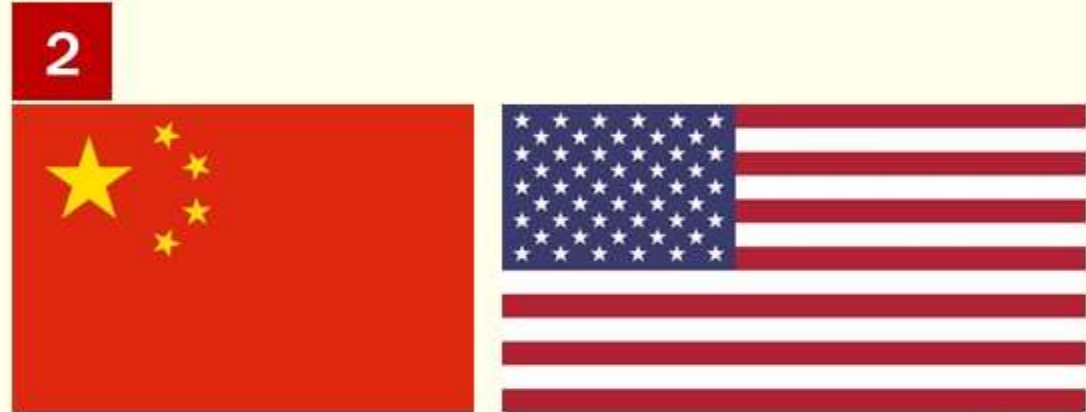
STRUCTURAL UNEMPLOYMENT

- It is due to fundamental shifts in an economy.
- It is not due to business cycles.
- It is compounded by extraneous factors such as technology, competition and government policy.
- Even shift of manufacturing jobs from one location to other location may also lead to structural unemployment as workers may find difficult to relocate

STRUCTURAL UNEMPLOYMENT



Lack of requisite job skills
because of use of high end
technology



American manufacturing sector lost several
jobs due to shift of manufacturing to lower
cost regions like china

TECHNOLOGICAL UNEMPLOYMENT

1



2



TECHNOLOGICAL UNEMPLOYMENT

- Technological unemployment is the loss of jobs caused by technological change.
- Such change typically includes the introduction of labour-saving "mechanical-muscle" machines or more efficient "mechanical-mind" processes

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

D. Sunil Kumar

V. Dayakar James

Y. Sri Poojita

G. Ravi Babu

D. Joji

K. Victor Babu

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